The Unicorn Model

A structured approach to the Unicorn entry, built around liquidity taken at key opening prices.

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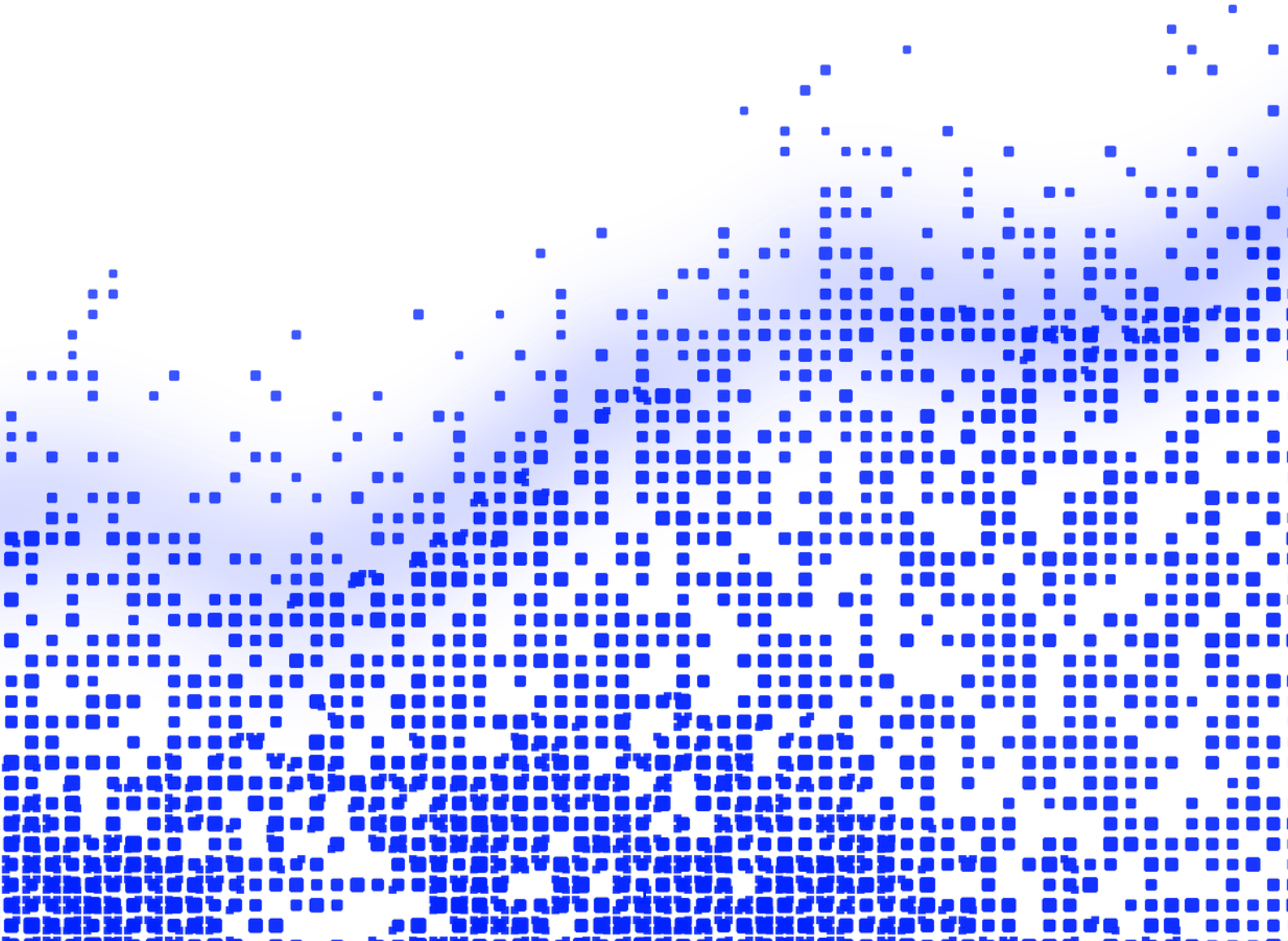
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01

Introduction

A clear, rule-based approach to the Unicorn entry: the context it needs, what qualifies a setup, and how to execute and manage the trade.

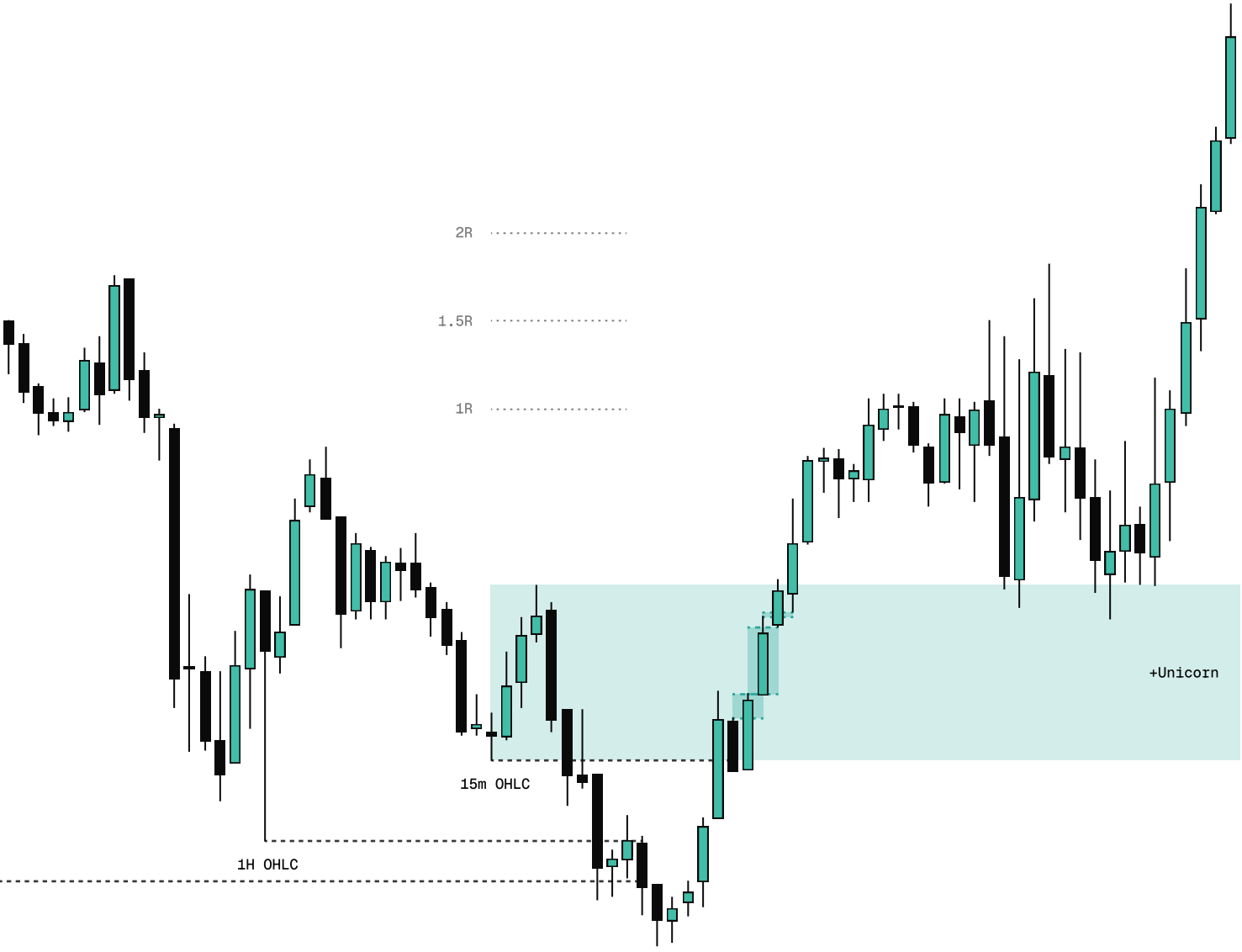


1.1 What is The Unicorn Model

This model, as the name suggests, focuses on the Unicorn entry function, providing a clear and structured approach to applying the Unicorn pattern. If you're unfamiliar with the Unicorn pattern, no need to worry—we'll walk you through every concept needed to fully understand and implement the model.

The model consists of various variables, some of which are optional and can be used to add confluence and strengthen the trade setup. However, certain variables are mandatory and must be present for the trade to align with the model's rules.

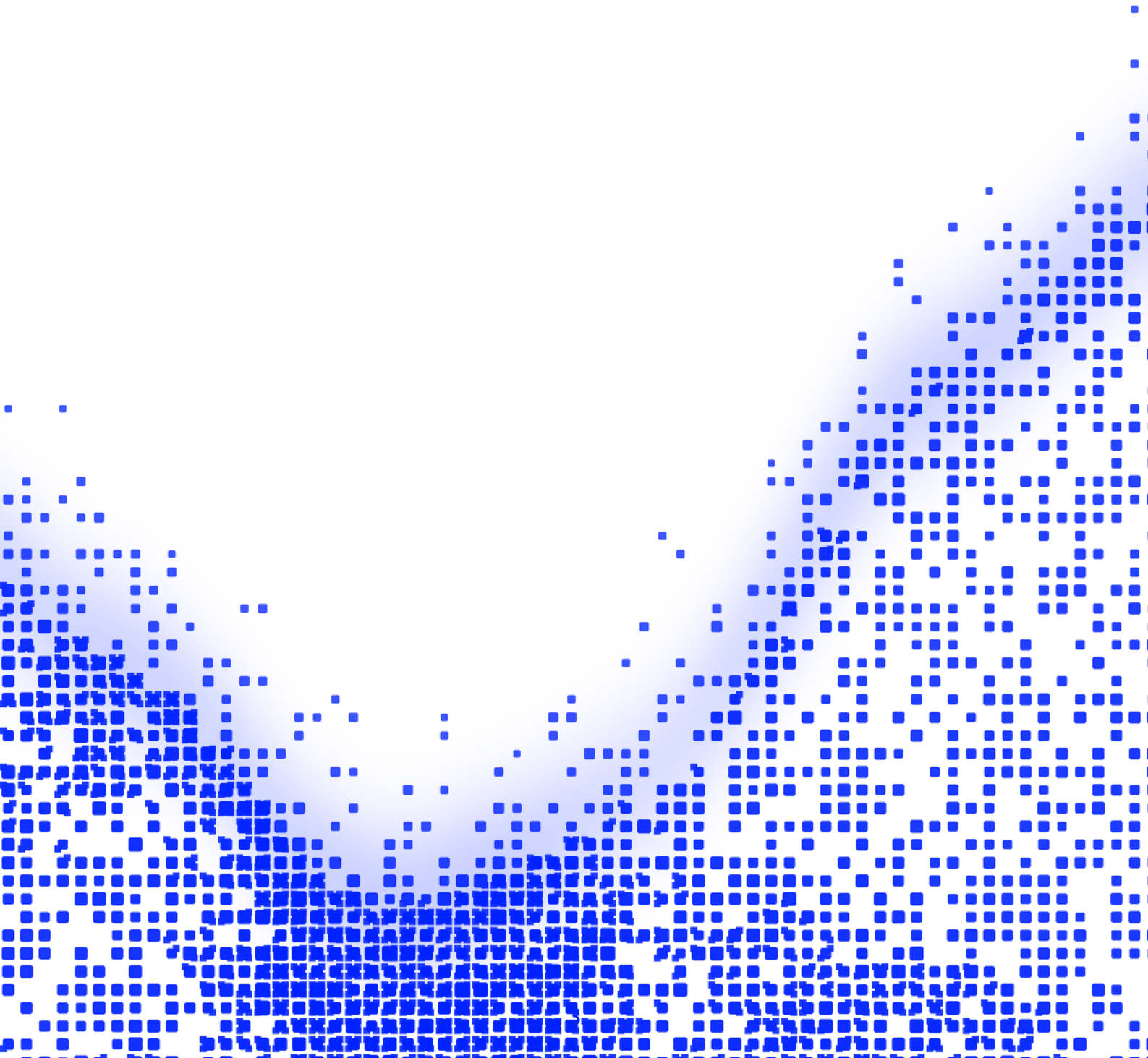
The chart examples in this guide use the Unicorn Model indicator for TradingView, which highlights Unicorn setups automatically so you can focus on whether the context and variables line up.



02

Model Variables

The variables that qualify a Unicorn setup: what must be present before you consider a trade, and what adds confluence to make it higher quality.



2.1 Model Variables

We'll discuss the variables, which, in simple terms, are the **key factors we need to consider before entering a trade**. These variables help us determine whether a trade is worth considering and evaluate the overall quality of the setup.

I separate these variables into different categories, starting with the mandatory variables. As the name suggests, these are essential requirements. If they are not present, the trade should not even be considered.

The additional variables are optional. They don't decide whether a trade is valid, but they add confluence and raise the quality of the setup.

Main Variables

Time
Manipulation
HTF Point of Interest
(at least one)
Unicorn Pattern

Additional Variables

Smooth Edges
Multiple HTF POIs

2.2 Time

When we refer to time in trading, we typically mean specific windows during which key events occur. These windows are crucial because they align with periods of liquidity being injected into the market.

Although Unicorn patterns can appear across various time frames and at any moment throughout the day, not every pattern on the chart represents a viable setup worth pursuing.

This is where the concept of time becomes significant. A common question arises: **"Why did you select that particular Breaker?"**

The answer is often linked to the time element. While multiple Breakers may form throughout the day, their importance varies. **The most significant Breakers generally develop within specific time windows.**

These critical time windows include:

Session Open Times
HTF Candle Openings
News Drivers

2.2.1 Session Open Times

One of the primary time windows to anticipate volatility in the markets is during the opening times of trading sessions. These moments present valuable opportunities for us to take advantage of potential price movements.

We can expect significant market activity during four main trading sessions, which are as follows:

London Session	NY AM Session	NY PM Session	Asia Session
02:00 – 05:00	09:30 – 12:00	13:30 – 16:00	20:00 – 00:00

While there are four main session time windows, this model will specifically concentrate on the London Session and the New York AM Session, as these two sessions are generally regarded as the most important of the day.

2.2.2 HTF Candle Openings

The idea is simple: once a new higher time frame candle opens, price may first move to take liquidity from the previous higher time frame candle before moving in the opposite direction.

This helps us understand which side of liquidity price targeted first.

What we look at:

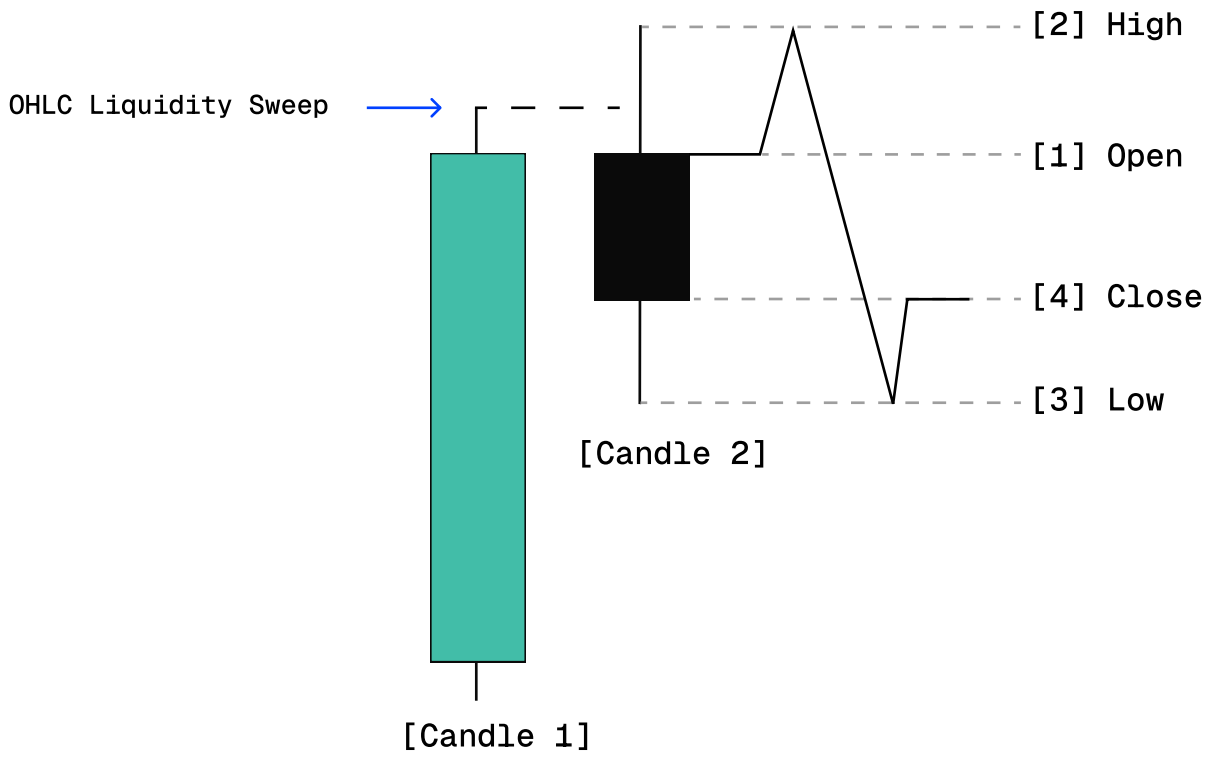
Every higher time frame candle leaves two clear liquidity pools behind: its high and its low. Resting orders, such as stops and breakout entries, sit above the previous high and below the previous low. When a new candle opens, these are the first levels price is likely to reach for.

How it usually plays out

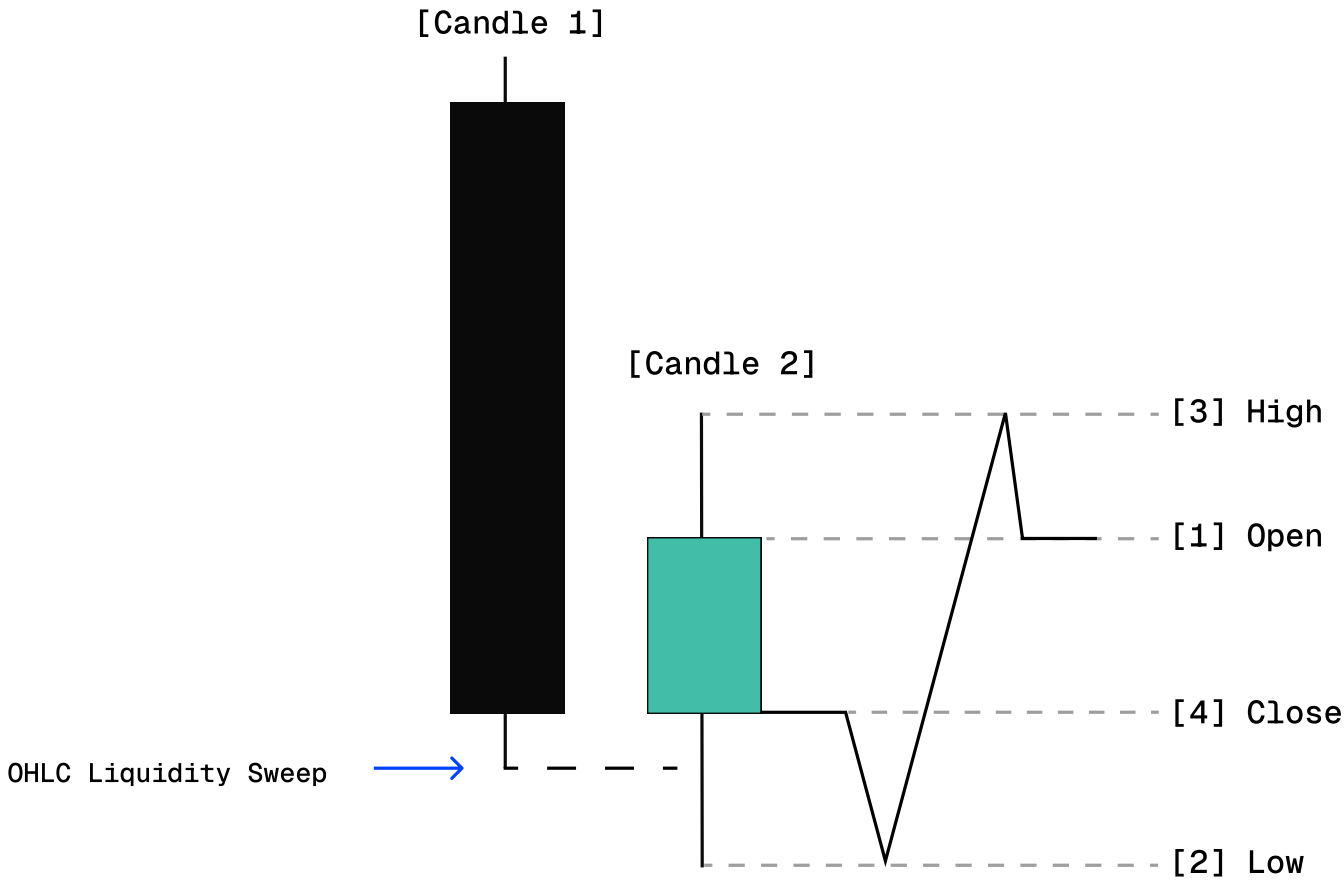
1. A new HTF candle opens.
2. Price moves toward the previous candle's high or low.
3. Price takes the liquidity beyond that level.
4. Price fails to continue and moves back the other way.

This first move is often manipulation, not the real direction of the candle. Traders who chase the breakout get trapped, and their orders fuel the reversal.

Bearish example: HTF open taking previous HTF high and going lower.



Bullish example: HTF open taking previous HTF low and going higher.



A sweep alone is not an entry. It tells us which side of liquidity has already been taken, so we can look for confirmation in the opposite direction on a lower time frame.

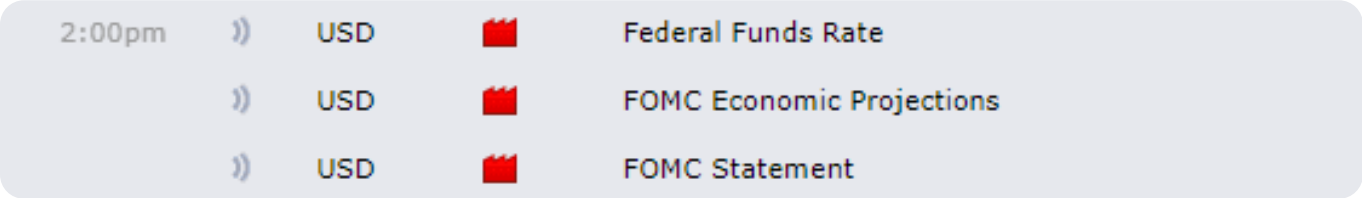
2.2.3 News Drivers

In trading, ‘news drivers’ refer to scheduled economic events or announcements that can substantially influence market volatility. These events are typically found on an economic calendar, which traders use to predict potential market movements.

One of the reference websites for upcoming news is Forex Factory.

You’ll encounter various types of news with different levels of impact, but we will focus on high-impact news only.

These are typically highlighted with a red icon on most news websites, indicating the topic, the time of the news release, and the currency affected by the news.



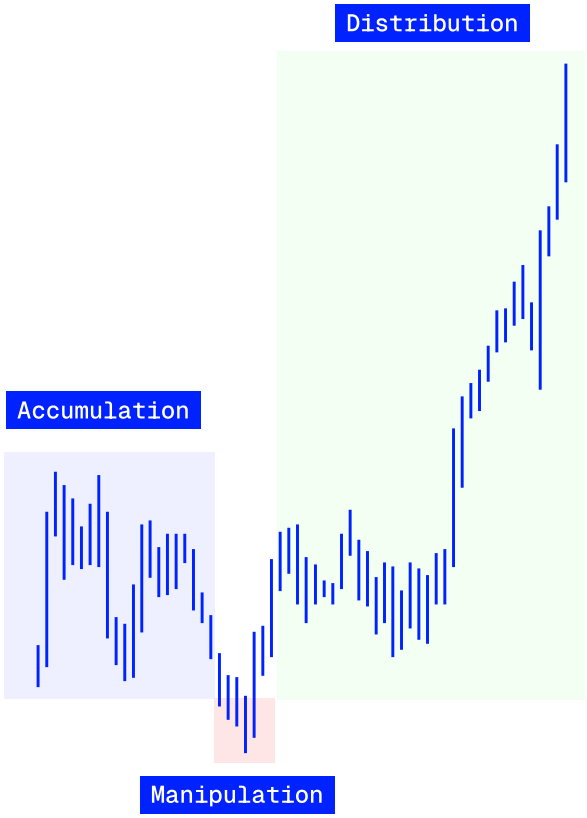
On days with significant news drivers, we should focus on entering positions only after the news release, never before. Prior to the announcement, the price tends to behave unpredictably and indecisively, leading to less favorable trading conditions.

2.3 Manipulation

Understanding the three phases of price—accumulation, manipulation, and distribution—provides context for the concept of manipulation in the Unicorn Model.

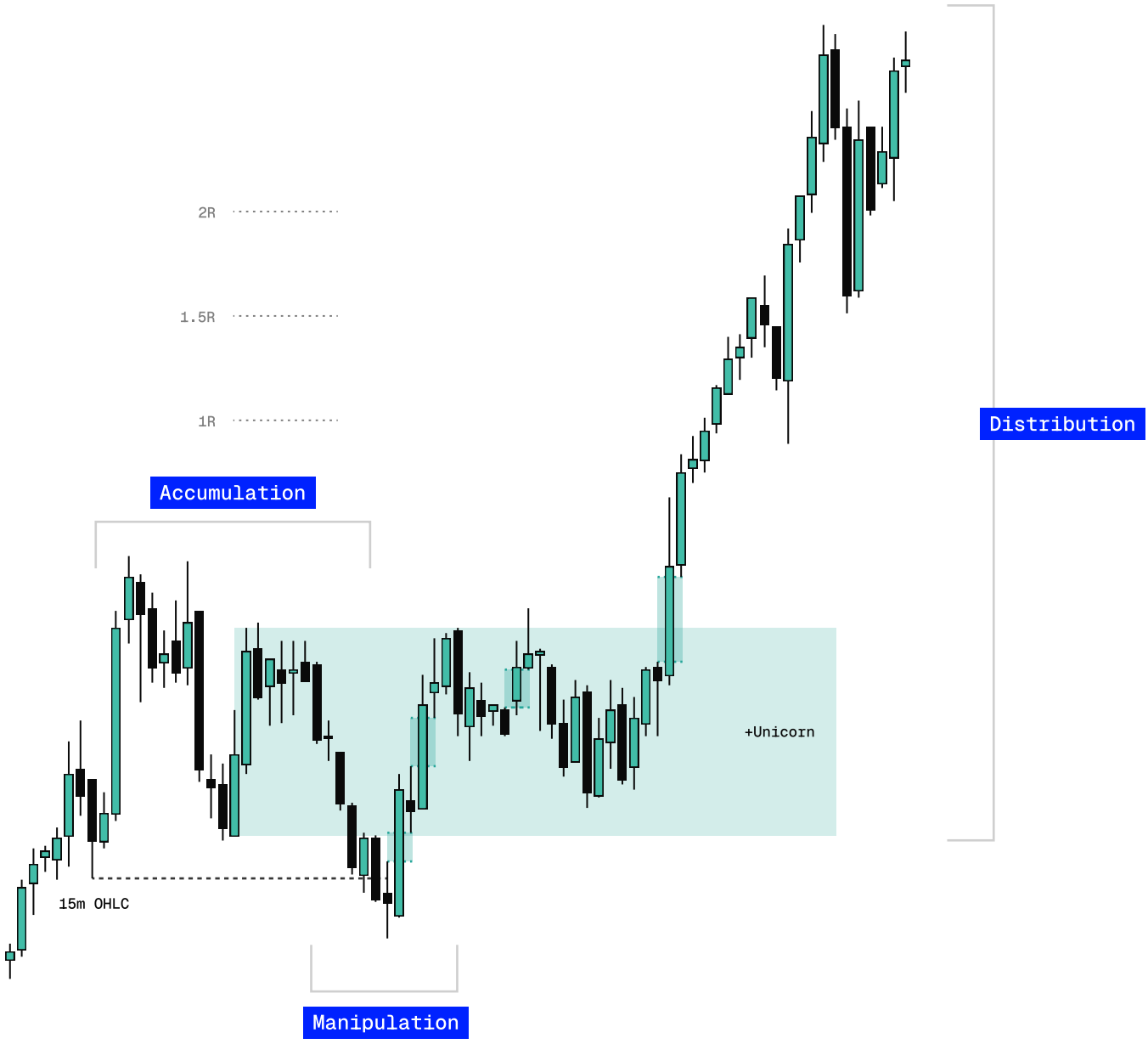
[1] Accumulation: Price ranges and liquidity builds up.
[2] Manipulation: Liquidity built up in the accumulation phase is targeted.
[3] Distribution: Price moves in the opposite direction after taking liquidity.

By focusing on the second phase, manipulation, we position ourselves for the subsequent distribution phase.



By recognizing these three phases, we can develop a plan to position ourselves effectively and benefit from the subsequent price movements.

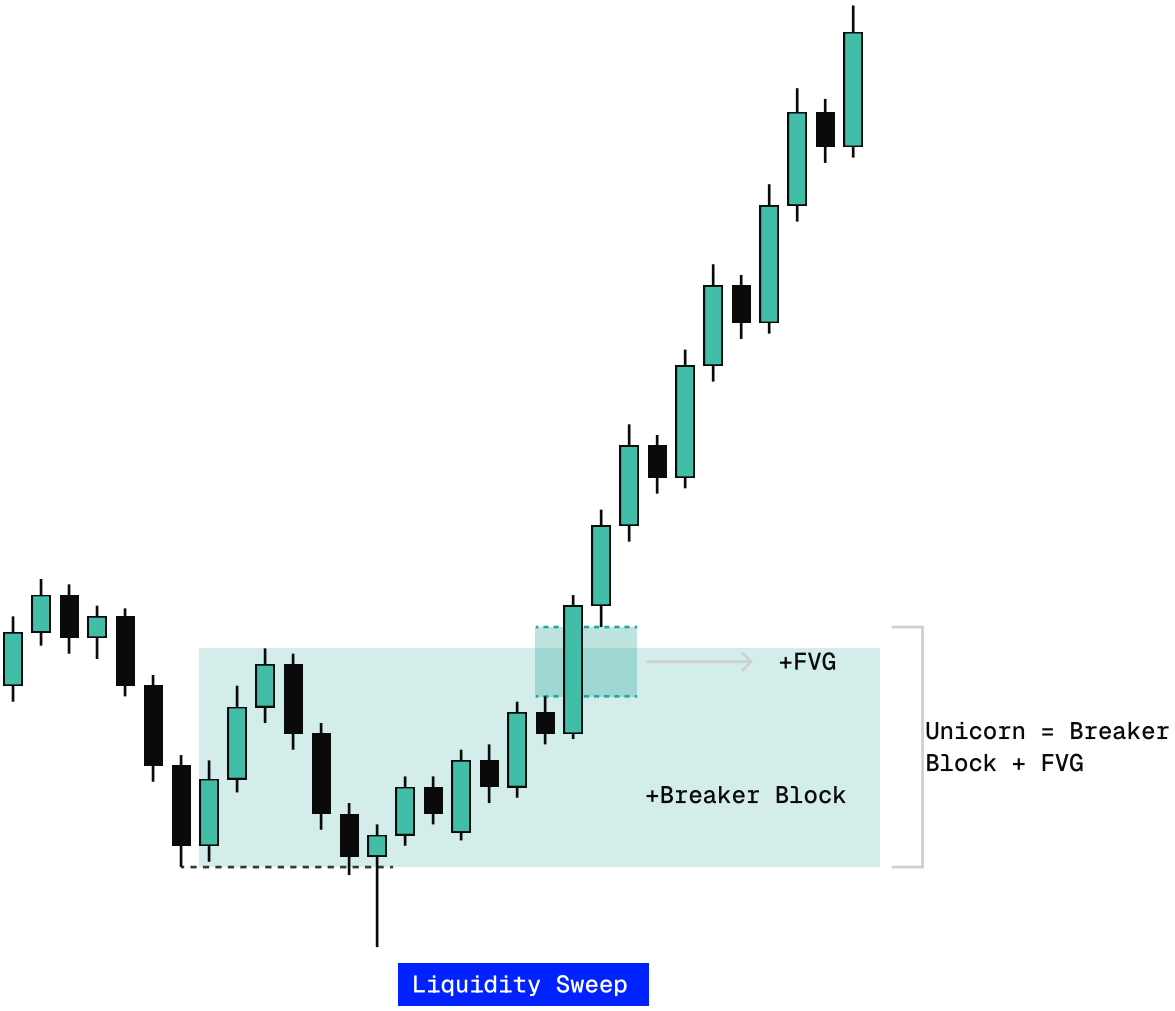
Let's use an example to see how manipulation sits within the Unicorn Model, and in which phase of this sequence we want to find our Unicorns:



The Unicorn lives between the manipulation and the distribution. We try to capture and time the moment distribution begins by finding a repeatable pattern that confirms what might be the start of distribution.

2.4 Unicorn Pattern

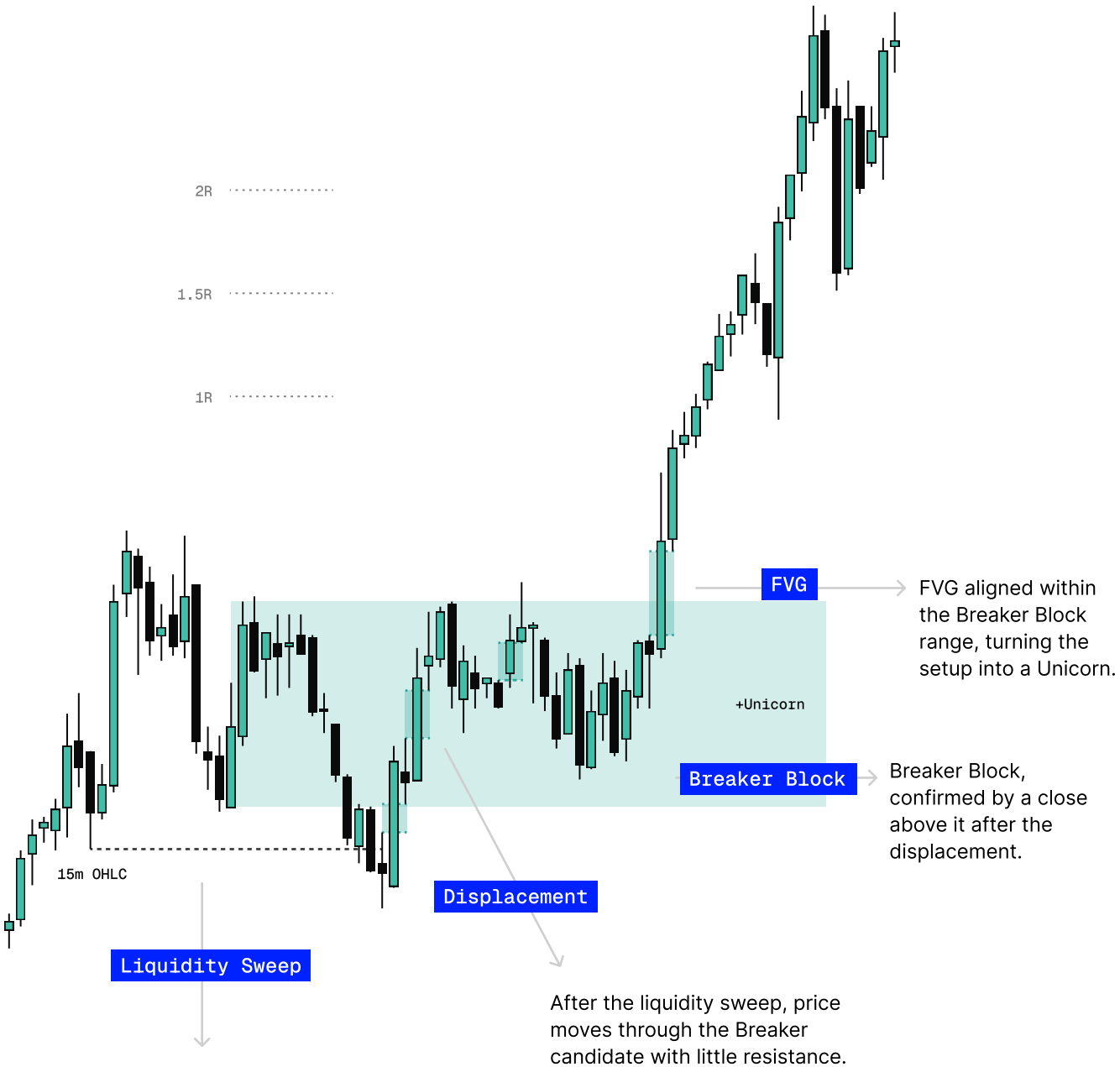
The Unicorn is a trading pattern that, in simple terms, consists of a Breaker aligned with a Fair Value Gap. For the pattern to have a higher success rate, it requires context, which is why aligning it with key time windows is essential.



In addition to the model's variables, we will discuss the key components that help anticipate reversals. Identifying potential reversals before they form will simplify our trading decisions and make entering trades more comfortable.

The components are:
Liquidity Sweep
Displacement
Breaker Block
Fair Value Gap

Again, let's see where these variables sit in a real Unicorn example, using the same long setup we showcased in the manipulation example.



2.4.1 Liquidity Sweep

Since the Breaker Block depends on liquidity being taken, we'll examine stop hunts and clarify why they are our primary variable to evaluate before looking at potential Breakers.

The definition of a Breaker is as follows:

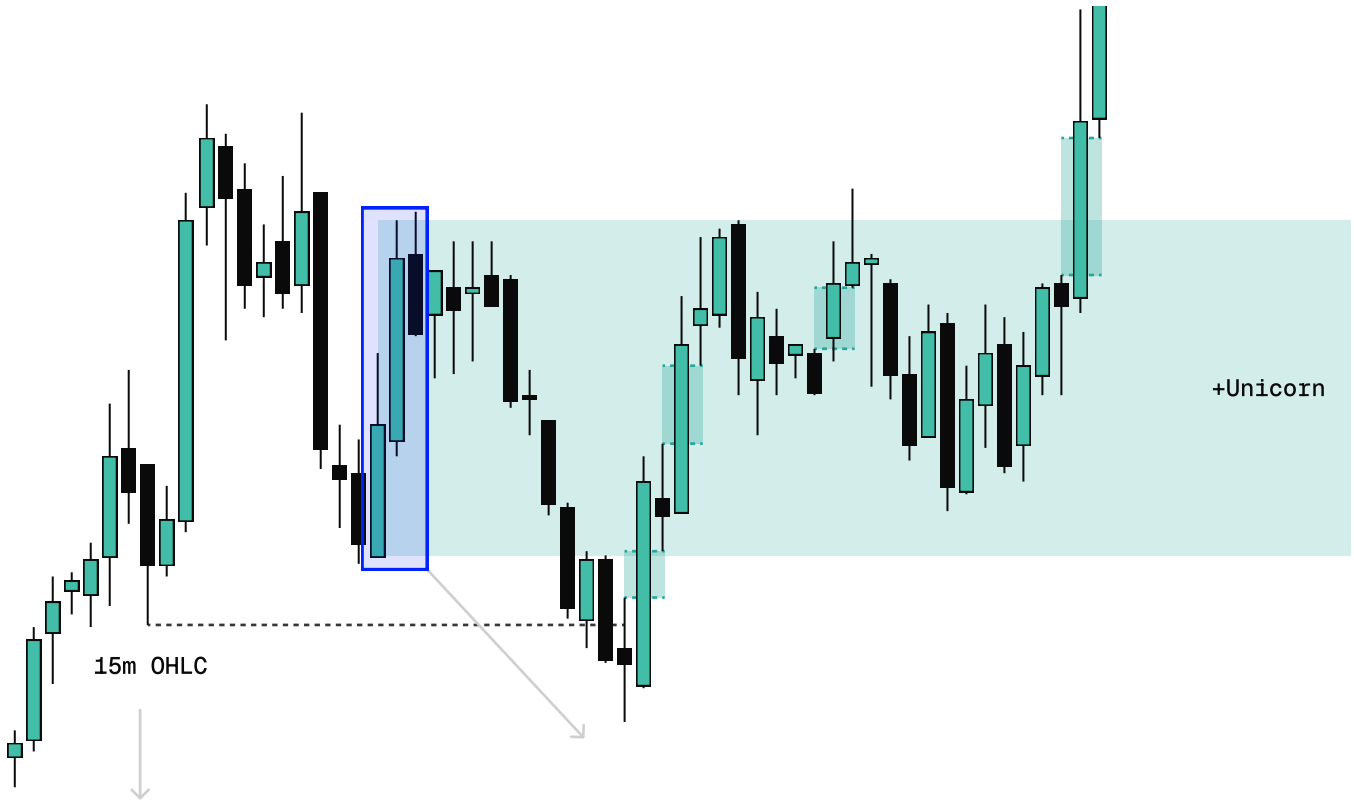
"The highest up-closed or lowest down-closed candle before taking liquidity."

While we'll delve deeper into Breaker Blocks shortly, let's focus on the second part of that definition:

"The highest up-closed or lowest down-closed **candle before taking liquidity."**

Before we begin searching for potential Breaker Blocks, we need to identify which price leg liquidity is being taken from. This will allow us to pinpoint the candles that form the Breaker. Sometimes in a market structure we have different highs and lows, and we need to pay attention to which high/low the price is taking liquidity from.

We're going to use the same example as before:



In this scenario this is the exact low from the previous 15m HTF candle, meaning we are sweeping HTF candle liquidity.

Based on the low that we just swept, we can start looking backwards for the definition of a Breaker. Being aware of the sweep point, we can learn to spot the Breaker ranges more efficiently.

2.4.2 Breaker Block

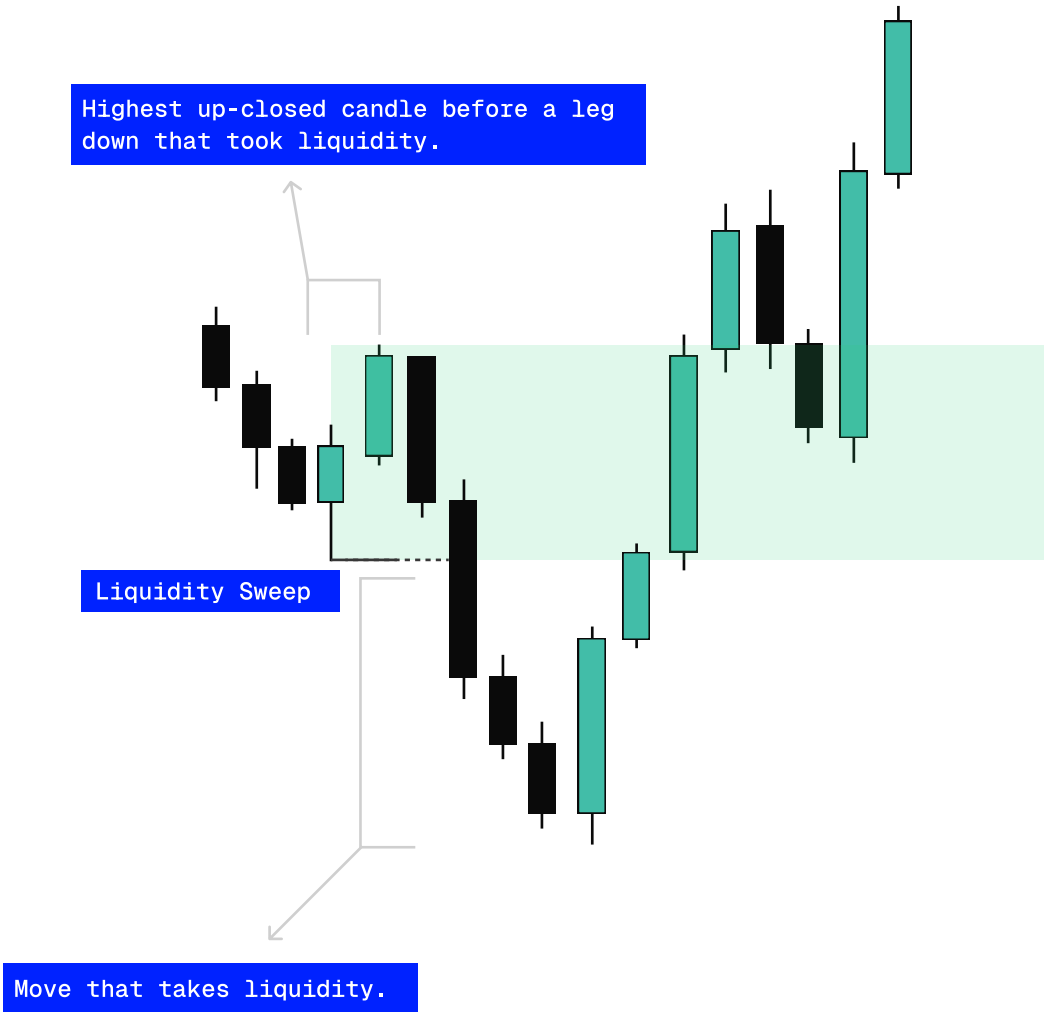
We've already covered the definition of a Breaker Block in the previous section, but let's revisit it for clarity:

Bullish Breaker Block: Highest up-closed candle (if it has more than one, we will use the consecutive up-closed candles) before the move taking liquidity.

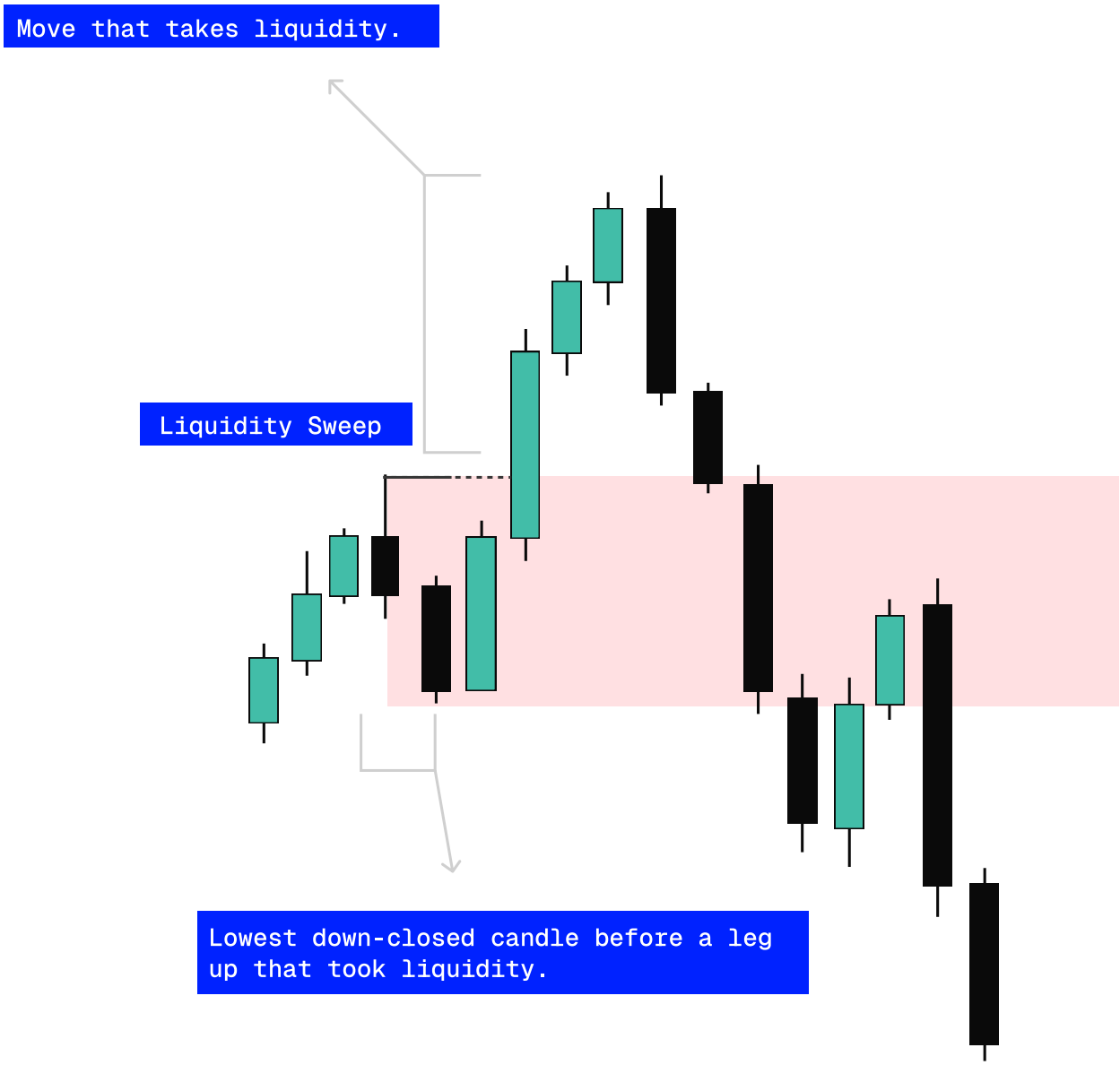
Bearish Breaker Block: Lowest down-closed candle (if it has more than one, we will use the consecutive down-closed candles) before the move taking liquidity.

These two definitions are crucial, as understanding them is essential for identifying the candles that will form the Breaker Block. Now, let's look at two examples based on the definitions provided.

Bullish Breaker

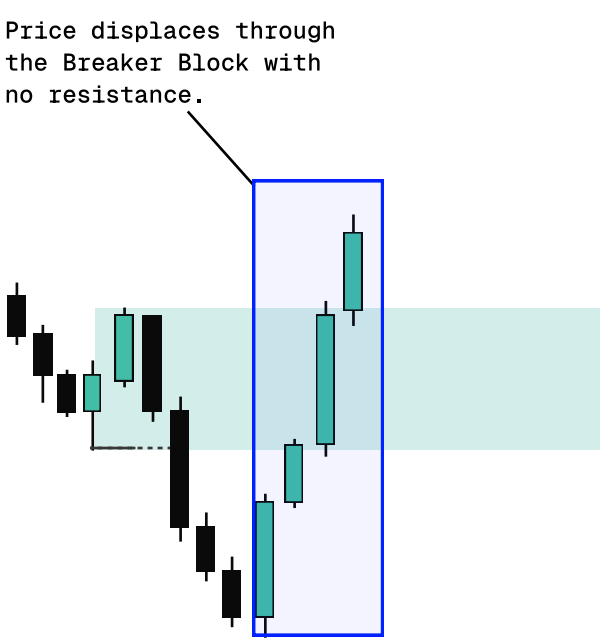


Bearish Breaker

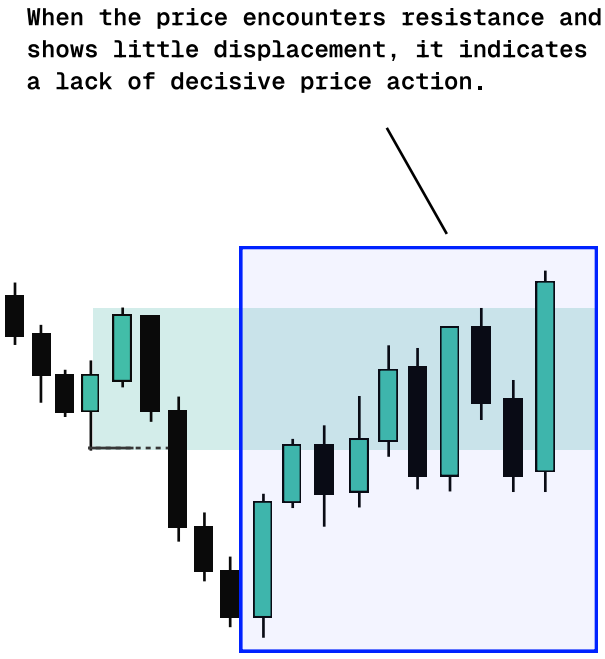


2.4.3 Displacement

When we want to consider a Breaker Block, **we want price to encounter little to no rejection when approaching it.** This means we want to observe price displacement that creates a Fair Value Gap along the way (which we will discuss later).



Scenario 1



Scenario 2

That said, does this mean we shouldn't take a trade based on [Scenario 2]?

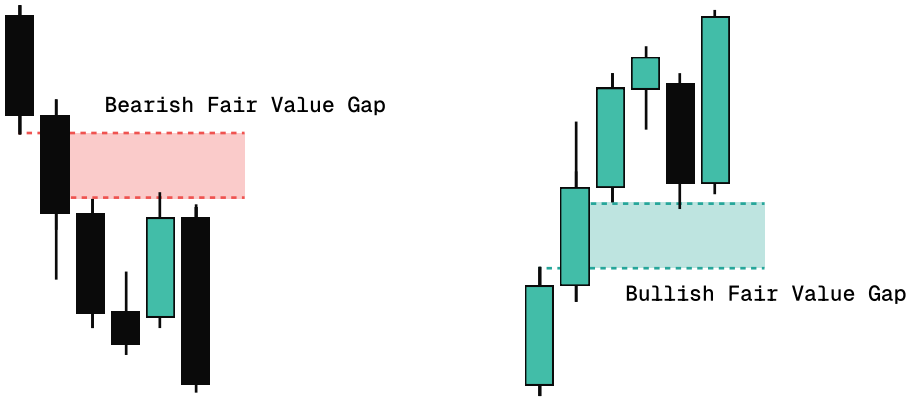
No, it simply means that when we observe displacement, we can consider our Breaker to be of higher quality, as the price is clearly indicating its intention to move higher.

If you prefer a mechanical approach, stick with [Scenario 1] only. However, if you're open to some discretion, you can use [Scenario 1] when it presents itself and decide whether to take a trade on the [Scenario 2] Breaker Block or not.

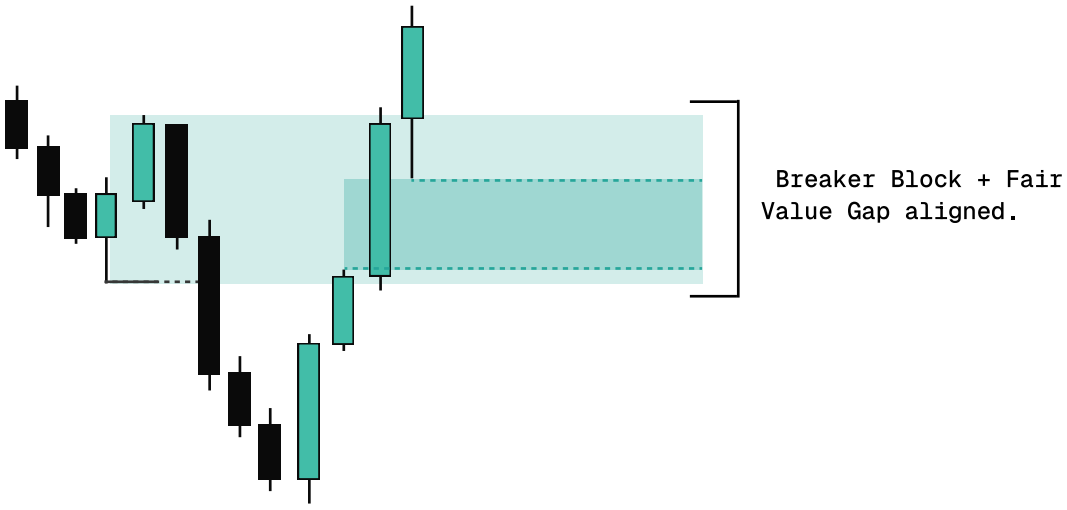
2.4.4 Fair Value Gap

Fair Value Gaps refer to areas in price movement that lack liquidity. Essentially, it's an area where one side of the market hasn't fully engaged in trading.

We won't delve deeply into the details of what a Fair Value Gap is and how it operates.



When it comes to the Unicorn, the FVG must be aligned with the Breaker Block for it to be considered as a Unicorn. If there's no FVG aligned with the Breaker, it's just a Breaker, not a Unicorn.



Does this mean we shouldn't take a position if there's no Fair Value Gap (FVG) aligned?

Not necessarily, but we must be aware that we won't be executing on a 'Unicorn' setup. Instead, we'll be relying solely on the Breaker Block to drive the price higher.

2.5 Smooth Edges & EQH/L

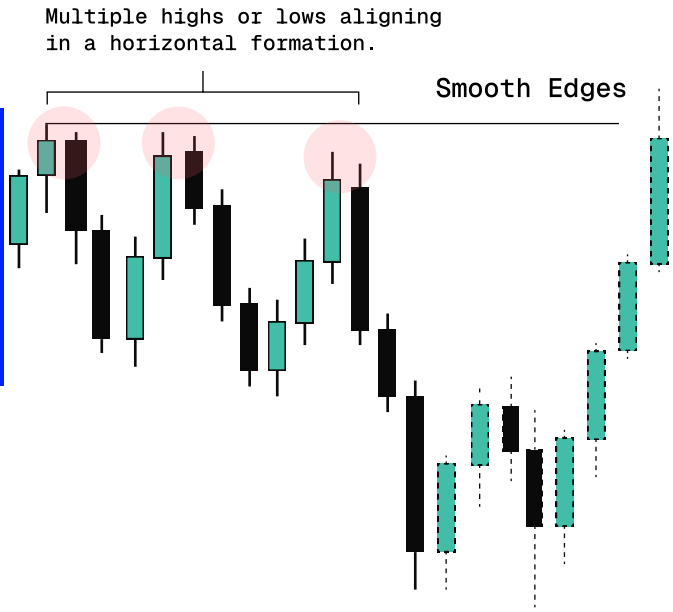
"If it looks smooth, you can bet your ass we are running through that" — ICT

Smooth Edges and Draw on Liquidity are among our initial non-mandatory variables. Having a draw on liquidity, especially in the form of Equal Highs/Lows or Smooth Edges, adds more rationale to our trades and provides a reason for the price to move higher.

In my trading approach, I use a fixed 2R Take Profit (we'll discuss execution, stop-loss placement, and take profit objectives later).

Most of the time, I use Smooth Edges to establish a context for the price moving in a particular direction. If our Unicorn trade aligns with the direction of the Smooth Edges or Equal Highs/Lows, we will consider it a higher-probability trade.

Smooth Edges are a formation of highs and lows where the price establishes a high or low, and the subsequent ones never surpass the previous one. This creates a singular, horizontal line extending from the first high.



Smooth Edges can form on any given time frame. However, when they occur within an important time window, they provide greater confluence when applying these concepts.

In such cases, Smooth Edges that form during specific time windows carry more weight.

Typically, these Smooth Edges will align with the Asia Range high/low, serving as my A+ tier draw on liquidity to use as context for price movements.

2.6 Higher Time Frame POIs

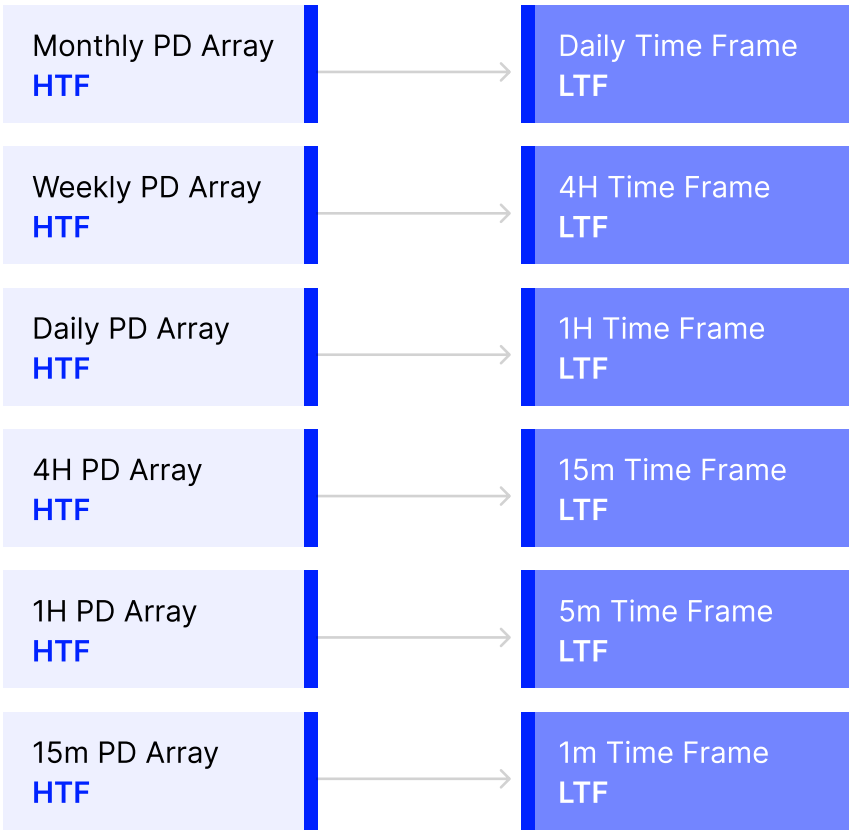
The third mandatory variable is Higher Time Frame Points of Interest. When we talk about these POIs, we focus on two PD Arrays:

- Swing Highs/Lows
- Fair Value Gaps

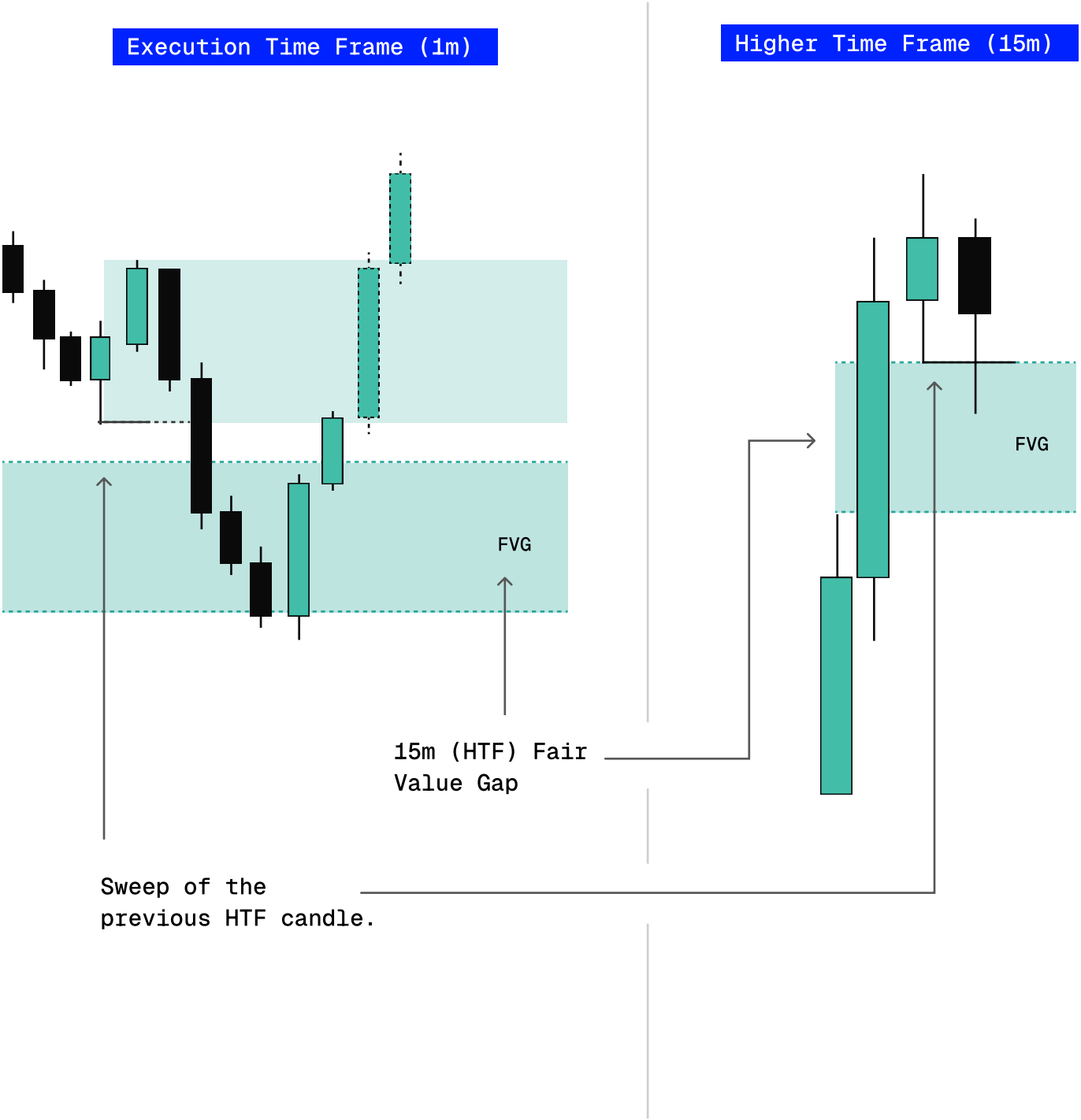
We can leverage the Higher Time Frame (HTF) Points of Interest by seeking Unicorn formations once these points are revisited, such as after sweeping an HTF swing low/high or tapping into an HTF Fair Value Gap.

How do we determine which time frame to start monitoring after a Higher Time Frame (HTF) Price Delivery array is revisited?

Although I personally don't adhere strictly to it, there is a general rule for time frame alignment. This means that when a specific Higher Time Frame (HTF) Price Delivery array is revisited, we should begin looking for positions on a corresponding Lower Time Frame (LTF).



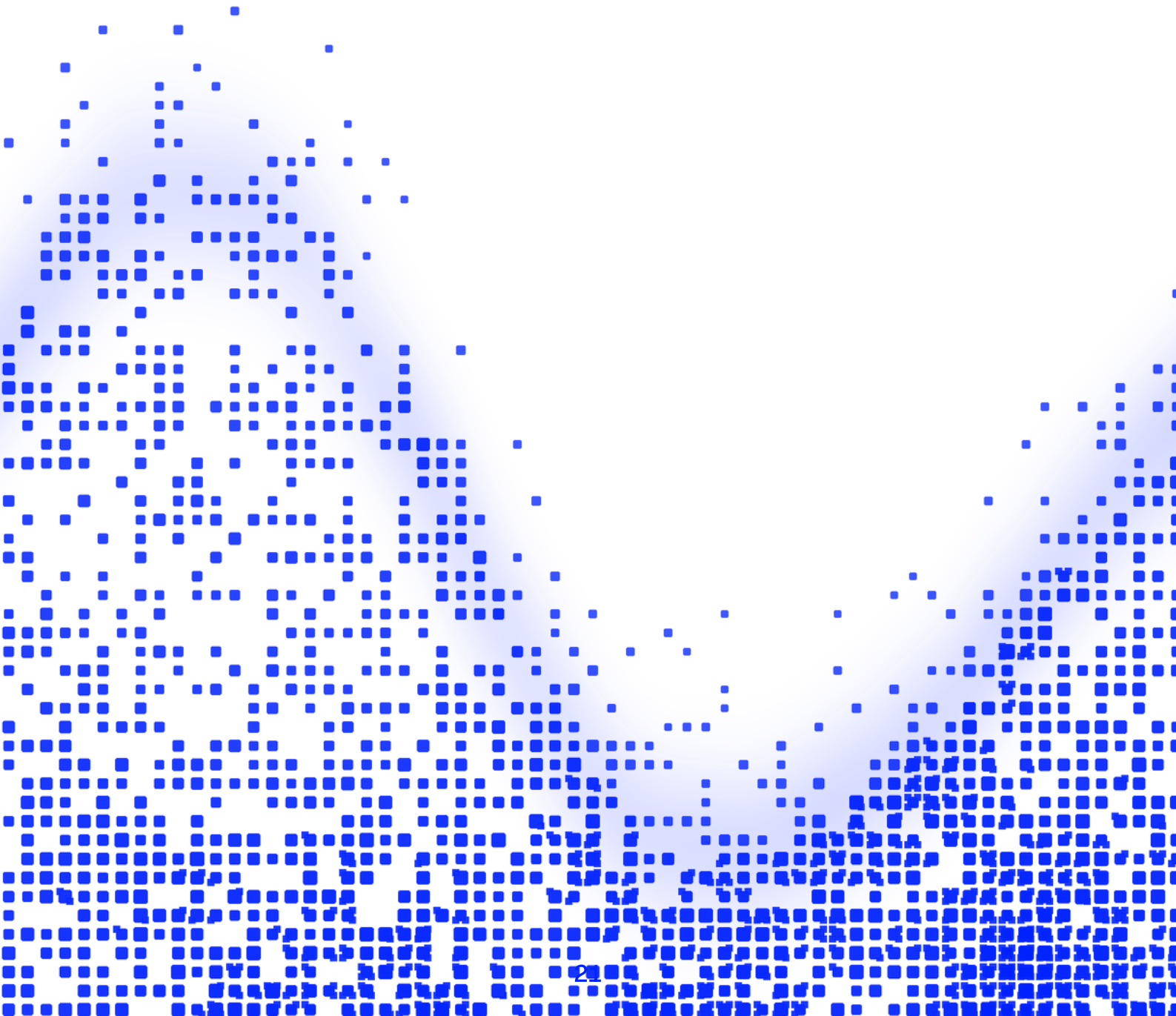
Having a Unicorn formation when we have both HTF & LTF requirements met gives the trade more weight and more confluence for us to consider it as higher quality.



03

Execution & Management

How to execute the trade once the setup is valid: where to enter, where to place your stop-loss, and how to manage the position to target.



3.1 Executing

When it comes to executions, we have 2 ways to enter our trades:

- Limit Orders, waiting for the retest of the Breaker Block after the displacement.
- Market Orders, anticipating the retest and entering early to avoid missing the opportunity if a sharp move occurs.

Based on my preference, I like to use a mix of both approaches, depending on how the price is behaving.

However, if you're new to the model, I highly recommend using limit orders, as they help eliminate the distraction and pressure of hitting the market button at the right moment.

With time and experience, I believe market orders work best, allowing you to jump into a trade at the right time (or not) and avoiding the frustration of a missed limit order.

Where should we enter the trade?

We want to enter or place our limit orders once we see a close above the Breaker after the displacement. The concept behind the Unicorn is that the Breaker will support the price in continuing its movement. Therefore, we aim to enter at the Breaker retest or, in the case of a market order, as close to the Breaker as possible.

3.2 Stop-Loss Placement

As with executions, we have 2 ways to place our stop-loss:

- Below/Above the Breaker.
- Below/Above the high/low that swept liquidity.

Based on my own experience and preference, the best way to place the stop-loss (SL) is beneath the Breaker. Our main premise is that the Breaker is what holds and supports the price for the subsequent movement, so the point of invalidation should be the failure of the Breaker.

Example of Entry + 2 types of Stop-Loss placement



3.3 Take Profit

When it comes to take profit, I follow a simple and general rule for all my trades:

Fixed 2R take profit.

Following the practice of placing stop-loss orders under the Breaker, I have found that trades often have a high probability of reaching the 2R mark, making it the sweet spot for profit.

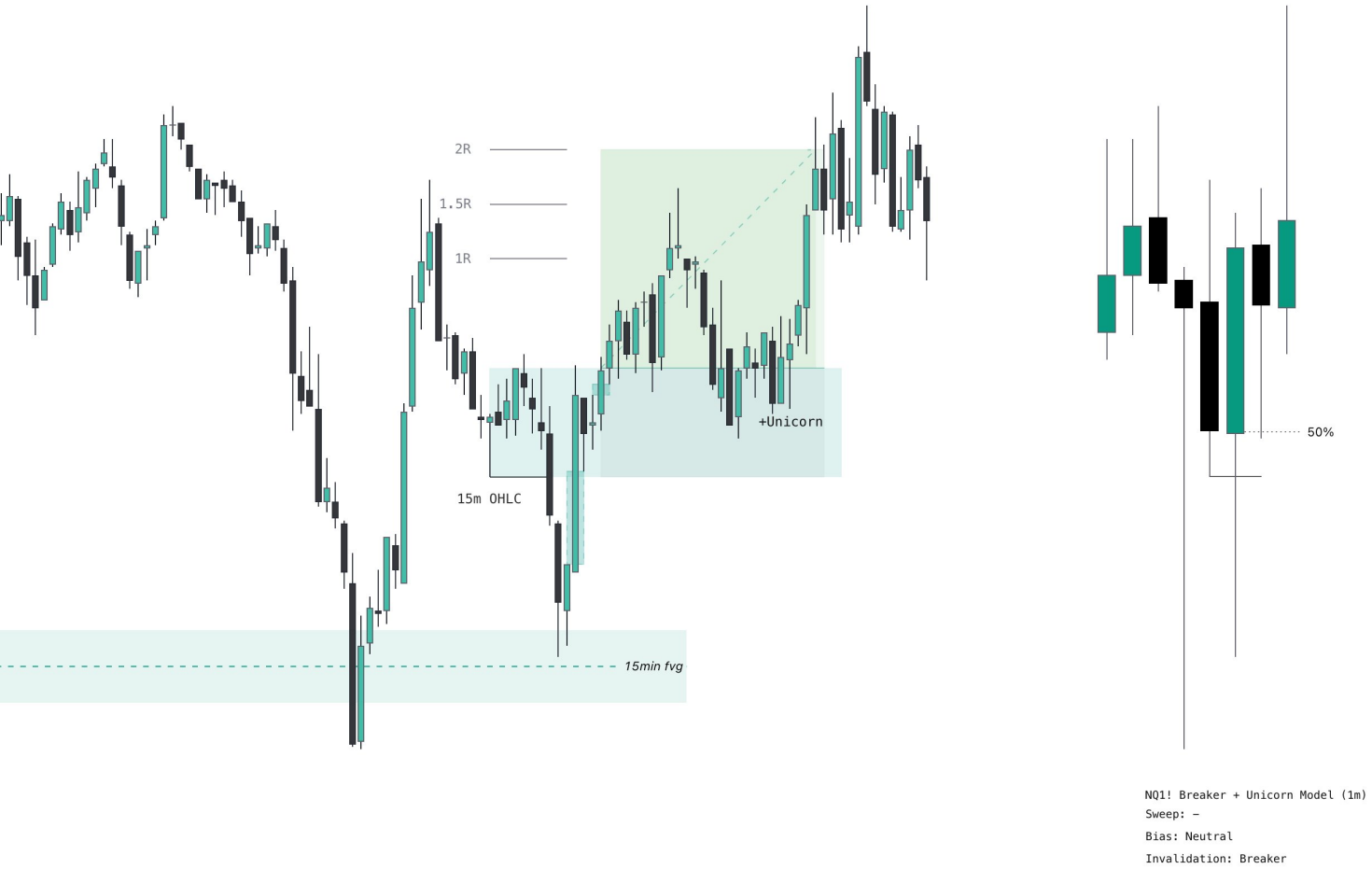
Price can obviously run beyond 2R, so if you aim to capture larger moves, I suggest focusing on draw on liquidity, particularly using Smooth Edges or HTF Fair Value Gaps as your exit points for trades.

04

Examples

[Section description]

4.1 Trade Examples



01 NQ · 1m · Long

INSTRUMENT	TIMEFRAME	DATE
NQ1! (CME)	1m	6 Oct 2026
DIRECTION	**SESSION**	**RESULT**
Long	London	2R reached

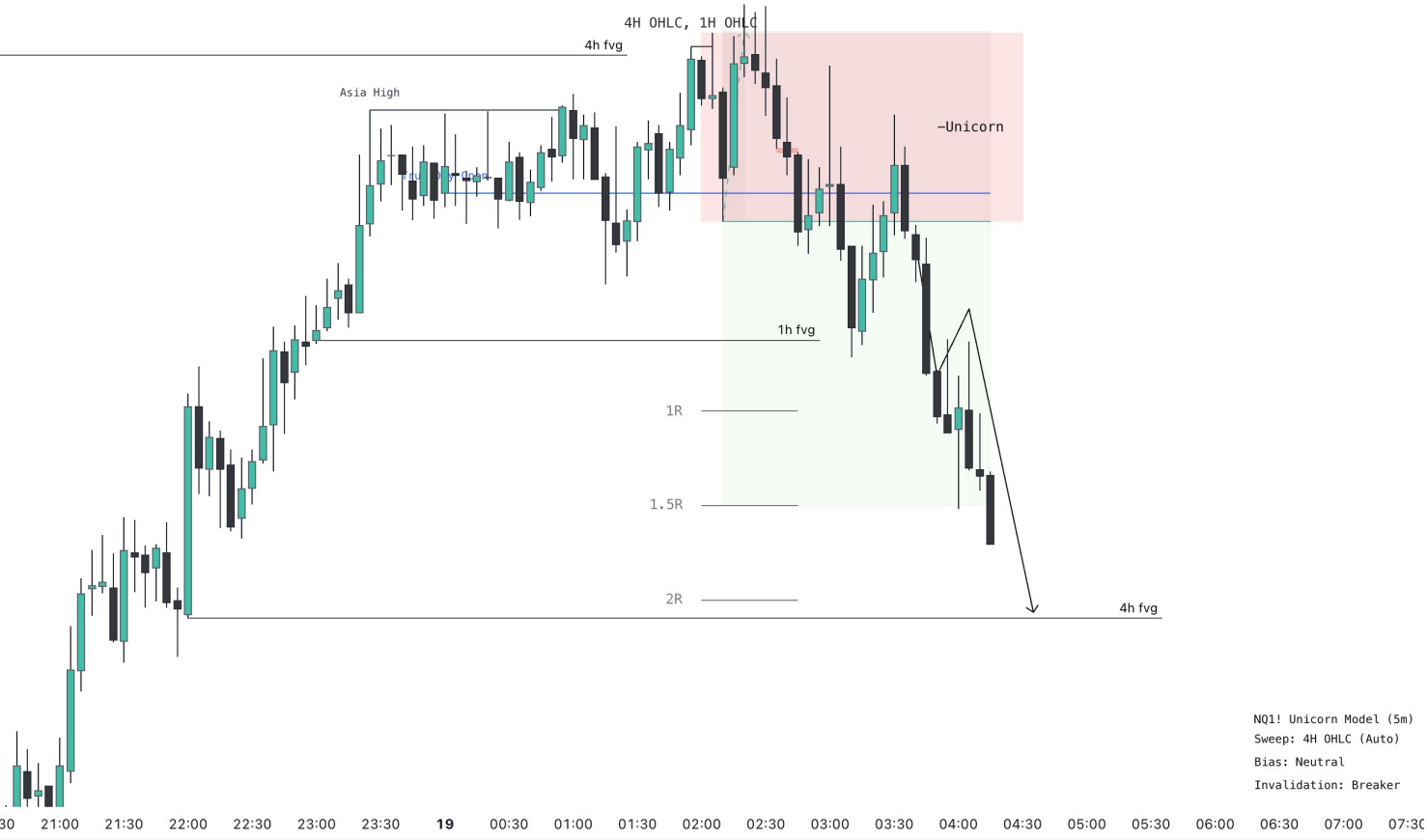
Setup confluences

- 15m Fair Value Gap
- 15m OHLC
- 1m Unicorn (Breaker + FVG)

Entry / Stop-Loss / Take Profit

ENTRY	31,375.00
STOP-LOSS	31,365.00
TAKE PROFIT	31,395.00 (2R)

Source: x.com/JunoTrading/status/2107384662137983200



02 NQ · 5m · Short

INSTRUMENT	TIMEFRAME	DATE
NQ1! (CME)	5m	19 Oct 2026
DIRECTION	**SESSION**	**RESULT**
Short	London	1.5R level hit

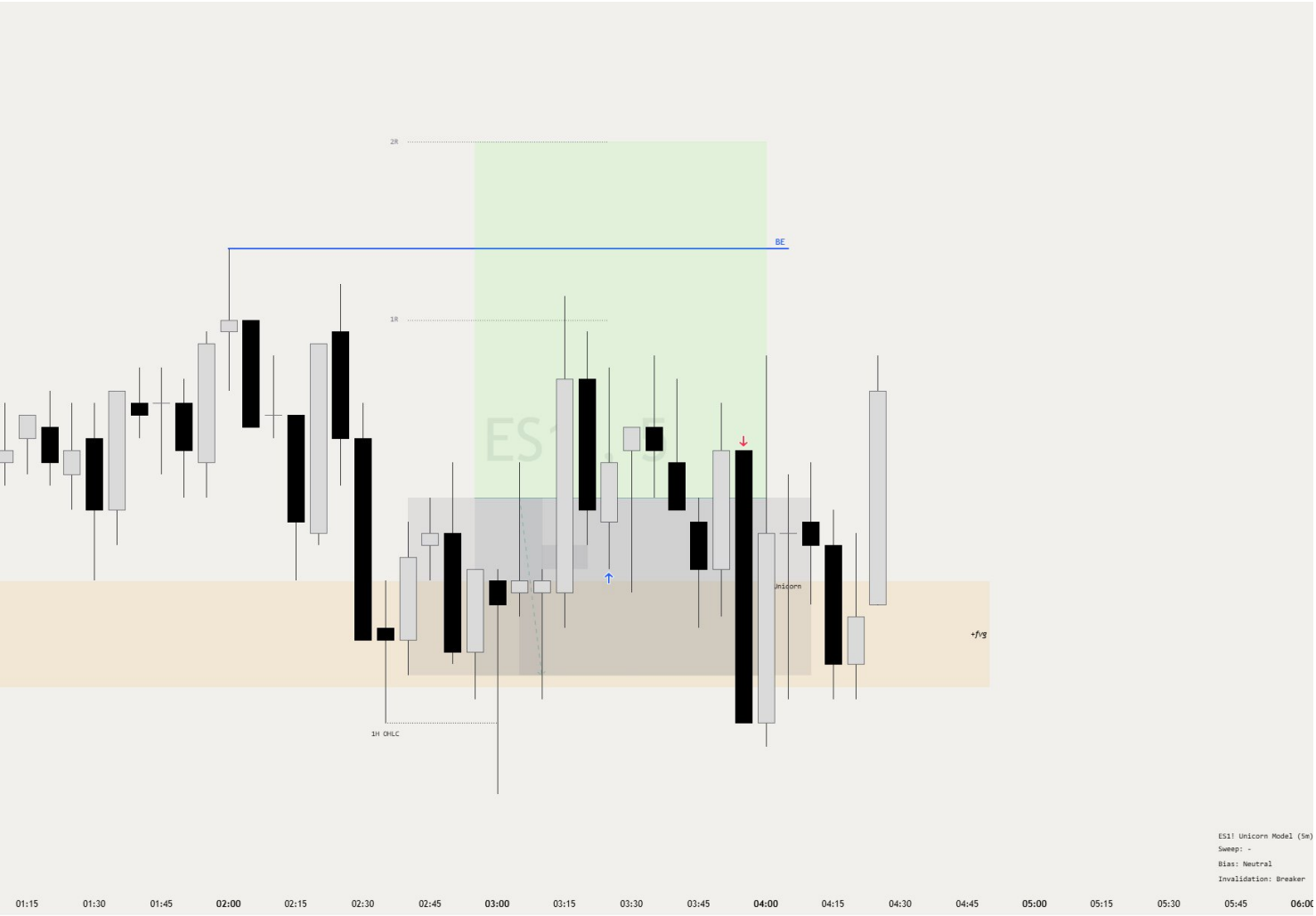
Setup confluences

- 4H OHLC + 1H OHLC sweep
- 1h and 4h Fair Value Gaps
- 5m Unicorn (−Unicorn)

Entry / Stop-Loss / Take Profit

ENTRY	29,765.75
STOP-LOSS	29,807.50
TAKE PROFIT	29,703.50 (≈1.5R)

Source: x.com/JunoTrading/status/2112096599224525294



03 ES · 5m · Long

INSTRUMENT	TIMEFRAME	DATE
ES1! (CME)	5m	15 Jun 2026
DIRECTION	**SESSION**	**RESULT**
Long	London	-1R

Setup confluences

- 1H Fair Value Gap
- 1H OHLC
- 5m Unicorn

Entry / Stop-Loss / Take Profit

ENTRY	7,591.50
STOP-LOSS	7,587.75
TAKE PROFIT	7,599.00 (2R)

Source: x.com/JunoTrading/status/2066438341428433306



04 MNQ · 5m · Short

INSTRUMENT	TIMEFRAME	DATE
MNQ1! (CME)	5m	26 May 2026
DIRECTION	**SESSION**	**RESULT**
Short	London	+2R

Setup confluences

- 1H Swing + 4H OHLC (liquidity sweep)
- 5m Unicorn: Breaker + FVG

Entry / Stop-Loss / Take Profit

ENTRY	29,793.50
STOP-LOSS	29,816.50
TAKE PROFIT	29,748.25 (2R)

Source: x.com/JunoTrading/status/2059183583223230785

Pre-Trade Checklist

Keep this page next to your chart and tick each box before you enter. Every line summarises a section of this guide; the page reference on the right points to where it is explained.

01 MANDATORY If one is missing, there's no trade.

- [ ] **Time:** setup within a key window. London 02:00–05:00 or NY AM 09:30–12:00, an HTF candle opening, or after a high-impact news release (never before). p5-8
- [ ] **Manipulation:** liquidity taken (HTF candle high/low or a key opening price swept). p6, 9
- [ ] **HTF Point of Interest (at least one):** HTF swing high/low swept or HTF Fair Value Gap tapped. p19
- [ ] **Unicorn pattern:** liquidity sweep, then displacement, then a Breaker Block confirmed by a close beyond it, with an FVG aligned inside the Breaker range. p11-17

02 ADDITIONAL Confluence

- [ ] **Smooth Edges / EQH-EQL** as draw on liquidity, in the trade's direction. p18
- [ ] **Multiple HTF POIs / HTF–LTF time frame alignment.** p4, 19

03 EXECUTION

- [ ] **Entry:** limit at the Breaker retest, or market as close to the Breaker as possible. p22
- [ ] **Stop-loss:** beyond the Breaker (invalidation = Breaker fails). p22-23
- [ ] **Take profit:** fixed 2R. p23

Stop guessing. Trade the Unicorn Model.

Identify high-probability setups by mapping multiple liquidity sources, with automated Breaker and Unicorn detection, real-time alerts and projected targets.

Your Chart. Fully Automated.

Every Breaker and Unicorn setup, detected and drawn in real time.



01

Breakers and Unicorns, detected

Breaker Blocks and Unicorn setups are found and drawn on your chart automatically, with advanced filtering built in.

02

Liquidity sweeps, detected

Tracks multiple liquidity sources at once and flags the sweep the moment it happens.

03

Entry, stop and targets

Every setup plots its entry, stop and risk-to-reward targets automatically.

04

Alerts at every stage

Potential Breaker, activation, target reached and invalidation, sent straight to your device.

05

Zero repaint

Once a setup prints on candle close, it stays. What you see is what you get.

06

Any market, any time frame

Futures, crypto, forex or indices. Same indicator everywhere.

theunicornmodel.com

Trading involves risk. This guide is for educational purposes only.

Now go see it on the chart.

Thanks for reading. When liquidity is swept, a Breaker forms and a Fair Value Gap aligns with it, you have a Unicorn. Wait for all three, then execute your plan.

The Unicorn Model indicator for TradingView

Breaker and Unicorn detection, multi-source liquidity and real-time alerts, right on your TradingView chart. Every setup plots its entry, stop and risk-to-reward targets automatically, and once a setup prints on candle close it stays: zero repaint. Futures, crypto, forex or indices, on any timeframe.

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